

Project Brief - Finance Analytics Nordic Retail Group (NRG)

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Executive Summary

This project analyzes the financial performance of Nordic Retail Group to identify why strong revenue does not translate into profitability. By examining cost structures, operational efficiency, and scenario risks, the analysis uncovers structural inefficiencies and provides actionable recommendations to improve cost management and achieve sustainable profitability.

Background & Objective

Nordic Retail Group (NRG) operates across the electronics, home and kitchen, and furniture departments. Accurate classification of Direct Costs (COGS) and Operational Expenses is essential for producing reliable Profit and Loss reporting. However, the current reporting process still relies heavily on fragmented and manually managed spreadsheets.

NRG needs to address inconsistent financial data across departments and reporting sources, as well as manual reconciliation processes that increase reporting time and the risk of errors. The absence of a centralized “single version of the truth” limits visibility into departmental profitability, cost performance, and logistics and marketing expenses, ultimately delaying financial and operational decision-making.

The project is expected to produce a structured and validated financial dataset, an accurate Profit and Loss report with clear classifications of COGS and Operational Expenses, a consolidated balance sheet overview, an operational performance dashboard, and an advanced analytics layer. These deliverables will improve the monitoring of Gross Margin %, Operating Profit, and Budget vs. Actual variance, accelerate reporting, reduce reliance on manual spreadsheets, and identify opportunities to increase profitability

Business Problem	Business Objective	Analytical Question	KPI(s)
Financial data is inconsistent and fragmented across departments and reporting sources.	Establish a structured, validated, and centralized financial dataset.	How can NRG standardize and validate 100% of financial data from the electronics, home and kitchen, and furniture departments within three months?	Data Completeness %, Data Accuracy %, Data Error Rate, Validated Records %
COGS and Operational Expenses are not classified consistently, reducing the reliability of P&L reporting.	Improve the accuracy of cost classification and financial reporting.	Which classification rules and corrections are required to achieve at least 98% accuracy in separating COGS and	Classification Accuracy %, COGS, Operational Expenses, Reclassification Error Rate

		Operational Expenses by the next quarterly reporting cycle?	
Limited visibility makes it difficult to identify the main drivers of departmental profitability.	Increase Operating Profit by identifying and prioritizing profitable departments, products, and cost improvements.	Which revenue, COGS, and operational-expense drivers should NRG prioritize to increase Operating Profit by 10% compared with the previous financial year?	Operating Profit, Operating Margin %, Gross Profit, Gross Margin %, Revenue Growth %
Logistics and marketing expenses are difficult to monitor against their allocated budgets.	Strengthen cost control and reduce unfavorable budget variances.	Which logistics and marketing cost categories should NRG control to maintain monthly Budget vs. Actual variance within $\pm 5\%$ over the next 12 months?	Logistics Cost, Marketing Cost, Budget vs. Actual Variance, Cost-to-Revenue Ratio
Manual spreadsheet reconciliation causes reporting delays and increases the risk of errors.	Automate financial reporting and accelerate management access to reliable information.	Which reporting activities should NRG automate to reduce reporting cycle time by 50% and manual reconciliation hours by 70% within six months?	Reporting Cycle Time, Manual Reconciliation Hours, Automation Rate %, On-Time Reporting %

Personnel Involved

Stakeholder List

- John Doe – Chief Financial Officer, Centerpiece on the company's overall financial health, the CFO requires high-level KPIs such as total revenue, gross margin, and net profit with clear trends over time. They are interested in understanding the 'why' behind changes and identifying which stores or departments are driving growth versus those requiring attention
- John Hancock – Financial Controller, Primary concerned with the technical integrity and accuracy of the data. This role focuses on reconciliations, ensuring profit and loss statements balance, and verifying that account names and cost allocations are consistent across all departments. Their goal is to maintain a 'single version of the truth' that they can trust
- Jack – Department Heads, Responsible for managing areas like sales, marketing, and logistics, these stakeholders require actionable insights relevant to their specific operations. They need to understand how they are performing against their budgets, which products or stores are underperforming, and whether their costs are appropriately aligned with their sales volume

Expected Deliverable

The deliverables include a structured finance dataset, a P&L report, a balance sheet overview, an operational performance dashboard, and an advanced analytics layer

Timeline & Milestone

- **Data Preparation & Understanding**
Clean and validate dataset (P&L, accounts, transactions)
Define business objectives, analytical questions, and KPI framework
Expected Progress: Data ready for analysis + KPI structure finalized
- **Analysis & Dashboard Development**
Perform profitability, operational, and scenario analysis
Build visualizations (Profitability, Operation, Scenario layers)
Expected Progress: Core insights identified + dashboard completed
- **Insight Generation & Presentation**
Develop key findings, conclusions, and recommendations
Create presentation slides (storytelling + business impact)
Expected Progress: Final report and presentation ready for stakeholders

Communication Plan

Day 1 Start of project

Project Kick-off Meeting

Purpose: Align on objectives, scope, KPIs, and expectations

Daily Check-in / Progress Sync

Purpose: Share progress updates, highlight blockers, and adjust priorities **Daily (Day 1 & Day 2)**

Project Chat Channel (Slack / WhatsApp)

Purpose: Real-time communication and quick issue resolution **Ongoing (throughout project)**

Interim Update (Quick Review)

Purpose: Share early findings and validate direction with stakeholders

End of Day 1

Day 2 Final Presentation Meeting

Purpose: Present insights, conclusions, and recommendations **Day 2 (End of project)**

Further Resource & Reference

Metric Standardization

<i>Metric</i>	<i>Definition</i>
<i>Revenue</i>	Total amount across all accounts
<i>COGS</i>	Direct cost of goods sold
<i>Operating Expenses</i>	All indirect costs (marketing, rent, and salaries)
<i>Gross Profit</i>	Revenue after direct costs
<i>Net Profit</i>	Final profit after all expenses
<i>Financial Items</i>	Cost of finance (debit, interest)